

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 25-04

CHINA UNITED LINES,

LTD.

COMPLAINANT,

v.

AMAZON.COM SERVICES LLC,

AMAZON LOGISTICS INC. AND

BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.

RESPONDENT.

**COMPLAINANT’S APPEAL OF ORDER PARTIALLY
GRANTING MOTION TO DISMISS**

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I. INTRODUCTION

The Presiding Officer's June 6, 2025 Order Partially Granting Motion to Dismiss ("Order") correctly determined that dismissal as to Count I of the China United Lines Ltd.'s ("China United") Complaint was improper and accordingly denied Respondents' Motion to Dismiss as to that claim. Dkt. 23. However, the Order prematurely dismissed Counts II-V on the pleadings, finding that jurisdiction was lacking and/or the Amended Complaint ("Am. Compl.") failed to state a claim for which relief could be granted. Thus, Complainant China United, through its counsel, respectfully appeals to the Commission the Presiding Officer's grant of the Motion to Dismiss on Counts II-V in the Amended Complaint, and respectfully submits that reversal is warranted as to these claims pursuant to 46 C.F.R. § 502.227.

II. FACTUAL BACKGROUND

A. The Complainant.

Complainant China United is a foreign entity organized and existing under the laws of China, with its principal place of business at Building 12, Lane 706 Wuxing Street, Pudong District, Shanghai 201204, China. Am. Compl. ¶ 1. Complainant China United was at all relevant times an ocean common carrier that provided containership transportation through its wholly owned subsidiary C.U. Lines Ltd. ("CUL"). Am. Compl. ¶ 2. CUL is a vessel operating "ocean common carrier" as that term is defined by 46 U.S.C. § 40102 (7) and (18) and at all relevant times has been registered with and subject to regulation by the FMC having FMC Organization No. 029412. *Id.* China United published base rates and additional charges for 20-foot and 40-foot equivalent container units ("TEUs" and "FEUs") through the Shanghai Shipping Exchange. China United's subsidiary, CUL, published an additional ocean tariff through a tariff publisher, www.tariffdatasystems.com which was listed on the Commission's website. Am. Compl. ¶ 11. For the purposes of this Appeal, China United and CUL hereafter will collectively be referred to as

(“China United” or “Complainant”).

B. Respondents.

Respondent Amazon.com Services LLC (“Amazon”) is a limited liability company organized and existing under the laws of the State of Delaware, with a business address at 410 Terry Avenue North, Seattle, WA 98109. Am. Compl. ¶ 3. Respondent Amazon Logistics, Inc. (“Amazon Logistics” or “ALI”) is an entity organized under the laws of the state of Delaware, with its principal place of business at 410 Terry Avenue North Seattle, Washington 98109. Am. Compl. ¶ 4. ALI is a non-vessel operating common carrier (“NVOCC”) pursuant to 46 U.S.C. § 40102(17), having FMC Organization and License No. 027218. Respondent Beijing Century Joyo Courier Service Co., Ltd. (“BCJ”) is a foreign entity with an address at Unit 2501, 25f, Block A, Ocean International Center No. 56 East 4th Ring Road, Chaoyang District, Beijing 100025, China. BCJ is an unlicensed (registered) foreign-based NVOCC pursuant to 46 U.S.C. § 40102(17), having FMC Organization No. 025852. Am. Compl. ¶ 5. Collectively, Amazon, ALI, and BCJ are referred to as (the “Respondents”).

C. Amazon’s Violative Conduct.

In April 2022, China United, acting through its subsidiary C.U. Lines Ltd., and Amazon entered into agreements for China United to provide transportation services, including ocean transportation, to Amazon and its affiliates. The terms of these agreements were set forth in several documents, including the Amazon Global Logistics Main Transportation Agreement (“MTA”) dated April 7, 2022, the Work Order dated April 29, 2022 (the “Work Order”), which was later amended without affecting the relevant terms (together, the MTA and Work Order, as amended, the “Service Contract”), and a Nondisclosure Agreement (“NDA”) dated March 29, 2022, which was incorporated by reference in the Service Contract. Am. Compl. ¶ 13. (MTA, Work Order and NDA submitted by Respondents as “Confidential” Attachments A-C to the Motion to Dismiss).

Amazon concedes that it entered a Service Contract evidenced by these three primary documents the MTA, Work Order, and NDA. *See* Motion to Dismiss pp. 4. Under the MTA, “Amazon” is identified as a party, defined as: “(1) ‘Amazon’ means Amazon.com Services LLC or any of its affiliates that receive Services.” Motion to Dismiss, Attachment A pp. 2. The Work Order at Section 4(6) identifies Respondents BCJ and ALI as affiliates that “tender cargo as non-vessel operating common carriers.” Motion to Dismiss, Attachment C pp. 37. By definition in the MTA, ALI and BCJ are both identified as parties to the Service Contract. Under the Service Contract regulations, ALI and BCJ can only book cargo for carriage by CUL if they are either a Beneficial Cargo Owner (“BCO”), an NVOCC, or a Shipper’s Association. 46 C.F.R. §530.3(q) and (r). Because ALI and BCJ are not (or have not been shown to be) BCOs or Shipper’s Associations, each could only use the Service Contract acting as an NVOCC.¹

The Service Contract had an initial two (2) year term commencing on April 7, 2022. The Service Contract defined the applicable shipping periods as “Contract Year 1,” running from May 1, 2022, to April 30, 2023, and “Contract Year 2,” running from May 1, 2023, through April 30, 2024. Am. Compl. ¶ 14.

¹ The Service Contract identifies ALI and BCJ as both BCO shippers and NVOCCs. Given the definition of an NVOCC under the Commission’s regulations, an entity cannot be both an NVOCC and a BCO as to the same shipment. Complainant alleges that ALI and BCJ shipped under the Service Contract as NVOCCs, and provided the Declaration of Jane Wang (“Wang Decl.”) showing the volume of containers shipped by BCJ and ALI. Wang Decl. at ¶ 4. Whether ALI and BCJ were acting in their capacity as NVOCCs for shipments under the Service Contract can only be determined by access to Respondents’ internal transaction documents for these shipments. The Commission must allow Complainant to conduct discovery to ascertain, for example, whether house bills of lading were issued by the NVOCCs indicating carrier status. ALJ and BCJ are explicitly listed as NVOCCs under the Service Contract, and are licensed or registered, respectively, as NVOCCs with the FMC. China United has found no evidence to suggest these entities acted as anything but NVOCCs with respect to the subject shipments. Therefore, at a minimum, there is a material dispute of fact as to the designated NVOCCs status for shipments under the Service Contract.

Under the Service Contract, Amazon could tender cargo “either directly or through its agents or suppliers, as a beneficial cargo owner (“BCO”) or non-vessel operating common carrier (“NVOCC”).” Am. Compl. ¶ 17. For purposes of the Service Contract, Amazon functioned as a shipper in U.S. foreign commerce by ocean and is considered a “person” subject to the Shipping Act. Am. Compl. ¶ 17. Similarly, under the Service Contract, Respondents ALI and BCJ were within the contract’s definition of “Amazon” as a contracting party, and listed as “affiliates” authorized to receive transportation services as NVOCCs regulated by and registered with the Commission under 46 C.F.R. §§ 515 and 530. Am. Compl. ¶ 17.

The Service Contract provided for certain ports, base rates, charges and other price terms, service commitments, and minimum quantity commitments, to be valid from May 1, 2022, to April 30, 2024, and other terms and conditions therein and incorporated by reference from the MTA and NDA. Am. Compl. ¶ 20. The MTA allowed either party to terminate the MTA or a Work Order for “convenience,” i.e., without cause, with 90 days prior written notice. Am. Compl. ¶ 22. The MTA provided that upon termination, each party would continue to owe any amounts accrued under the contract through termination. *Id.* For Amazon’s termination of the Service Contract for convenience, the Service Contract outlines the calculation of liquidated damages owed to China United, including the “Early Termination Tender Shortfall” at China United’s election, and the “Tender Shortfall Liquidated Damages” based on the containers booked by Amazon relative to China United’s capacity commitment. *Id.*

The MTA also provided for immediate termination for cause in the event of violation of certain representations, warranties, and covenants, and in the event of violation of Section 7 of the MTA (Confidentiality). *Id.* The Work Order further provided that if Amazon terminated “for cause,” Amazon’s MQC would be deleted, and Amazon would owe no amounts for liquidated

damages for bookings shortfalls. Am. Compl. ¶ 23. This “for cause” termination provision, relied upon by Amazon to avoid payment to Complainant, was raised by Amazon as a basis to exit the Service Contract without paying its liability for liquidated damages or fulfilling its MQC, both mandatory terms for a service contract under the authority of the Commission. 46 C.F.R. §§530.3(q) and 530.8(b)(4).

Following the entry of the Service Contract, Respondents began booking shipments with China United from China to U.S. West Coast ports. Am. Compl. ¶ 24. China United’s vessels carried a large number of Respondents’ containers under the Service Contract during the period from service commencement in April 2022 through March 2023. Am. Compl. ¶ 24. China United’s business records indicate Century Distribution Systems (Shenzen) Ltd., an entity not a party to or affiliate designated in the Service Contract, shipped 16,376 FEUs and 1,101 TEUs consigned to Amazon; and the NVOCC affiliate BCJ shipped 7,979 FEUs and 44 TEUs consigned to ALI. *See* Declaration of Jane Wang dated April 16, 2025, at ¶ 4.

On April 1, 2023, some thirteen (13) months before the end of the Service Contract term, Amazon provided written notice to China United that it was electing to terminate the Service Contract early for “convenience” and without cause, stating the termination would be “effective as of May 30, 2023.” Am. Compl. ¶ 25. Amazon’s termination for convenience triggered Amazon’s obligation to pay China United liquidated damages for the remainder of the unfulfilled Service Contract. Am. Compl. ¶ 26; Motion to Dismiss pp. 5-6. The liquidated damages were owed for the difference between the FEUs actually booked by Amazon from contract inception through such termination date of May 30, 2023, and the full FEUs of Amazon’s MQC for each of Contract Years 1 and 2, through April 30, 2024, subject to certain specific adjustments. Am. Compl. ¶ 26.

In accordance with the Service Contract, on April 26, 2023, the parties engaged in discussions for conclusion and an effective date of termination, including calculating the liquidated damages amount owed to China United to resolve the cargo shortfall under the MQC. On that same day, Amazon emailed China United its calculations of the amount owed to China United for the shortfall in cargo under the Service Contract, which Amazon stated to be \$31,560,000. Am. Compl. ¶ 27. Amazon agreed to pay China United’s invoice of \$31,560,000 as the amount due for liquidated damages. Am. Compl. ¶ 37.

After the Service Contract was validly terminated by Amazon for convenience, “effective as of May 30, 2023” per Amazon’s written notice, and was no longer in effect, Amazon sought to revise the termination to “for cause” as a pretextual means or device to avoid paying the agreed MQC shortfall liquidated damages. Am. Compl. ¶ 30. On June 7, 2023, Amazon emailed China United that it was issuing a “notice of termination” for cause and it would not pay the previously agreed liquidated damages to China United. Am. Compl. ¶ 31. In its June 7, 2023 notice, Amazon for the first time claimed that China United had violated Section 7 of the MTA (Confidentiality), which refers to China United’s “unauthorized use and disclosure of Confidential Information” because China United had posted material on the Chinese social network WeChat disclosing that China United was carrying cargo for Amazon. Am. Compl. ¶ 32.

Amazon itself had published an extensive WeChat post on July 4, 2022, describing its contractual relationship with China United. Am. Compl. ¶ 33. Amazon’s July 4 WeChat post identified China United as Amazon’s “business partner” and further discussed the parties’ commercial relationship in detail, including pricing and shipment schedules. Amazon also provided information about its China United carrier relationship to the shipping trade press, leading to publication of articles in July 2022 containing this same information. Amazon made

additional similar WeChat posts on August 9 and December 9, 2022.² Am. Compl. ¶ 34.

All of China United's posts of which Amazon complained were published after Amazon's own July 4, 2022, WeChat post and after publication of the trade press articles about China United carrying cargo for Amazon. Am. Compl. ¶ 35. China United's posts do not reveal any confidential information, as defined in the NDA and Service Contract. Due to Amazon's own July 4, August 9, and December 9, 2022 public disclosures through WeChat posts and press contacts, all such information had lawfully entered the public domain and was no longer "Confidential" within the meaning of the NDA or Service Contract. Am. Compl. ¶ 35.

China United's WeChat posts appeared in mid-2022, well before the termination of the Service Contract, and during the period when Respondents were continuing to book cargo with China United, taking advantage of China United's favorable, discounted Service Contract rates and charges. Amazon did not claim that China United's posts violated Section 7 of the MTA until after Amazon booked all its shipments at discounted Service Contract rates, after the Service Contract had already been effectively terminated by Amazon itself for Amazon's convenience, without cause, and after Amazon had agreed to pay China United's invoice of \$31,560,000 toward a settlement of the estimated amount due for liquidated damages. Am. Compl. ¶ 37.

D. CU Lines Files Claims Against Amazon for Violations of the Shipping Act.

On January 9, 2025 China United filed its Verified Complaint against Amazon before the Federal Maritime Commission ("FMC"). In the Verified Complaint, China United asserted four (4) violations of the Shipping Act including Sections 41102(a) (shipper obtaining transportation at less than applicable rates), 41102(c) (unjust and unreasonable practices), 41104(a)(1) (common carrier obtaining rates at less than applicable rates), and 41104(a)(2) (providing service not in

² See 8/9/22 (<https://mp.weixin.qq.com/s/OTFRbD8YyjkIAZLSjfJeQw>); see also 12/8/22 (<https://mp.weixin.qq.com/s/hxYPvj85hR4ZfAkt11QLNA>).

accordance with agreement). Compl. ¶¶ 38-79 On February 5, 2025 China United amended its complaint to add a fifth allegation pursuant to 46 C.F.R. § 530.10(e)(2)(ii) (cancellation of a service contract). Am. Compl. ¶¶ 69-79.

On March 26, 2025 Respondents filed a Motion to Dismiss the Amended Complaint (“Motion”). In the Motion, Respondents allege that Count I fails because it does not allege falsification, deception, fraud, or concealment; Counts II-IV fail because the Commission lacks jurisdiction over Respondents for the specific claims alleged; and that Claim V fails because it does not allege a violation of the Shipping Act and the regulation is inapplicable on its face. Motion at 7-10, 11-14, 22-24.

E. The Order on Motion to Dismiss and Issues on Appeal.

On June 6, 2025, the Presiding Officer issued an Order Partially Granting the Motion to Dismiss, dismissing Counts II-V, but allowing Count I to proceed. Order at 2. The Order dismissed Counts II-IV on jurisdictional grounds, concluding that the Amended Complaint failed to adequately demonstrate that the NVOCC affiliates were responsible for the alleged violative conduct, instead finding that the Amended Complaint alleges all violative actions were taken by Amazon itself. Order at 12-16. Separately, the Order dismissed Count II because the Amended Complaint did not allege a regular, customary, and continuous practice. Order at 18. The Order dismissed Count V because the agreement between the parties addressed termination of the agreement specifically, and therefore such a termination was not “unanticipated by the service contract.” Order at 22. The Order also rejected the sworn statements in the Declaration of Mr. Gary Kardian confirming that the events including failure to file an amendment dealing with the MQC constituted a ‘cancellation’ of the service contract within the meaning of the Commission’s regulation (“Kardian Decl.”) as insufficient to “ignore the plain language of the regulation.” Order at 23.

III. THE STANDARD OF REVIEW APPLICABLE TO THIS APPEAL

The Commission's rules do not specify a standard for reviewing an ALJ's decision granting a motion to dismiss. *See* 46 C.F.R. § 502.227(b)-(e). The Commission therefore follows the standard applied by the Courts of Appeal and reviews the ALJ's decision *de novo*. *Maier Terminals, LLC v. The Port Auth. Of N.Y. and N.J.*, Dkt. No. 12-02, 2015 WL 9426189, at *5 (FMC Dec. 18, 2015); *Kawasaki Kisen Kaisha Ltd. v. The Port Auth. of N.Y. & N.J.*, 33 S.R.R. 746, 753, 2014 FMC LEXIS 36, *19-20 (FMC 2014); *SSA Terminals, LLC v. City of Oakland*, 32 S.R.R. 325, 328, 2011 WL 7143995, at *1 (FMC 2011).

Additionally, because this matter is before the Commission on a motion to dismiss, the Commission reviews it under the standards of Federal Rule of Civil Procedure 12. The Commission's Rules of Practice and Procedure do not provide for motions to dismiss, so the Commission exercises its gap-filling authority under 46 C.F.R. § 502.12 and applies Federal Rule of Civil Procedure 12(b) and the federal case law interpreting it. *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620, 2014 WL 5316340, *6 (FMC 2014); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136, 2010 WL 11914641, *11 (FMC 2011).³ As the ALJ correctly noted, the appropriate standard here is that of Rule 12(b)(6). *See* Order at 3-4. Under Rule 12(b)(6), the Commission must accept as true all factual allegations in the complaint. *Maier*, 2015 WL 9426189 at *12. The Commission may also consider documents attached to the complaint, documents incorporated by reference in, or integral, to the complaint, and matters

³ FMC Rules of Practice and Procedure No. 12 provides that: "In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12.

subject to official notice. *Id.* at *2 n. 1. Finally, the Commission must draw all reasonable inferences from the allegations in the Complainant’s favor. *Id.* at *36.

IV. THE LAW APPLICABLE TO CHINA UNITED’S CLAIMS

A. Jurisdiction Under Sections 41102(c), 41104(a)(1), 41104(a)(2)

Counts II-IV of the Complaint have a jurisdictional threshold whereby the offending conduct must have been committed by a regulated entity.⁴ The Commission has stated that “not everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue.” Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29650 (May 18, 2020). The “jurisdictional question in § 41102(c) cases is whether the respondent was acting as a regulated entity when it allegedly violated the Shipping Act.” *MAVL Capital Inc., v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2020 WL 13512925, at *6 (FMC Oct. 29, 2020).

B. Section 41102(c)

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479

⁴ 46 U.S.C. § 41102(c) (“A **common carrier, marine terminal operator, or ocean transportation intermediary** may not...”)(emphasis added); 46 U.S.C. § 41104(a) (“A **common carrier**, either alone or in conjunction with any other person, directly or indirectly, shall not...”)(emphasis added).

(Dec. 17, 2018). Rule 545.4 states: 46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

C. Cancellation of Service Contracts under 46 C.F.R. § 530.10(e)(2)(ii)

Count V is an alternative pleading regarding the same wrongful acts of Respondents alleged in Counts I through IV to have violated Sections 41102 and 41104 of the Shipping Act.

Under the Shipping Act, 46 U.S. Code § 41107, which is also a part of Chapter 411:

- (a) In General -- A person that violates this part or a regulation or order of the Federal Maritime Commission issued under this part is liable to the United States Government for a civil penalty or, in addition to or in lieu of a civil penalty, is liable for the refund of a charge. * * *

The regulation, 46 C.F.R. §530.10, addresses instances in which a service contract “cancellation” has occurred. The regulation’s definition of “cancellation” at §530.10(a)(3) states:

Cancellation means an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.

The regulation further provides at §530.10(e) that:

- (1) An account may be adjusted for events and damages covered by the service contract.

This shall include adjustment necessitated by either liability for liquidated damages appearing in the service contract as filed with the Commission under § 530.8(b)(7), or the occurrence of an event described below in paragraph (d)(2)(5) of this section.

(2) In the event of cancellation as defined in § 530.10(a)(3):

(i) Further or continued implementation of the service contract is prohibited; and

(ii) The cargo previously carried under the contract shall be re-rated according to the otherwise applicable tariff provisions.

V. EXCEPTIONS AND ARGUMENT

A. The Complaint Adequately Alleges Jurisdiction Over Amazon for Counts II-IV

1. Amazon, the Entity that Signed the Service Contract, By Definition Included the NVOCC Affiliates

The Order erred in holding that “the amended complaint does not identify any shipments at issue or specify conduct of ALI and BCJ beyond transporting some of the shipments. Rather, the focus, even in these three counts, is on Amazon’s actions.” Order at 14. In so finding, the Order cites to language contained in China United’s Amended Complaint about “Amazon’s actions.” Order at 14 (citing Am. Compl. ¶¶ 54, 63, 68, 75, 79). This conclusion ignores the clear definition of Amazon in both the Amended Complaint and the Service Contract itself which includes the ALI and BCJ entities.

As alleged in the Amended Complaint, by the terms of the Service Contract itself, Amazon—the entity that signed the Service Contract and therefore the entity that breached the Service Contract in violation of the Shipping Act—was expressly defined to include the NVOCC affiliates. The MTA defines “Amazon” (the contracting party) as follows: “(1) ‘Amazon’ means Amazon.com Services LLC or any of its affiliates that receive services.” Attachment A, MTA,

⁵ There is actually no “paragraph (d)(2)” in the regulation. This is clearly a reference to paragraph (e)(2), and is treated as such by the Commission, as China United will show in this proceeding.

Section 1(1). The actual title of the MTA was “Amazon Global Logistics Main Transportation Agreement.” The Work Order “is entered into and made part of the MTA between Amazon and China United Lines Ltd.” Motion to Dismiss, Attachment C at pp. 33. It is clear from the written terms of the Service Contract that it was intended to encompass as its acting parties Amazon as well as its NVOCC affiliates ALI and BCJ acting in concert, as a common enterprise.

The language of the Amended Complaint intentionally follows this definition by including the NVOCC affiliates in the definition of “Respondent” and “Amazon.” Am. Compl. at pp. 1-2. Accordingly, China United’s allegations in the Amended Complaint did not limit its claims to the actions of Amazon, but expressly alleged the common and collective action on behalf of Amazon and its affiliates, including the NVOCCs named in the Complaint.

2. Amazon and its NVOCC Affiliates Are Under Common Ownership and Control

The Order dismissed China United’s argument that Amazon and its NVOCC affiliates appeared to act in a common enterprise, whereby the actions of one were done to benefit the whole. Order at 15-16. The Order found that China United’s allegations were “purely conclusory” and that none of the facts cited by China United suggest that the entities were “‘commonly owned and controlled’ so that Amazon’s corporate veil should be pierced.” Order at 15-16 (citations omitted). These conclusions, however, ignore the realities of Amazon’s relationship with its affiliates, which public information and the FMC’s own NVOCC list shows are owned and controlled by Amazon, share a common address, use common trade names with Amazon, and create a distorted reality for the shipping public if accepted by the Commission.

The language of the Service Contract makes this common enterprise clear. The Work Order Schedule 3 at paragraph (9)(b) designates NVOCC status for BCJ and ALI as “affiliates.” Motion to Dismiss, Attachment C pp. 37. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] The transactions contemplated under the Service Contract expressly required the Respondent NVOCCs to act in their NVOCC carrier capacity for the benefit of the other Respondents as consignees. Finally, the BCJ and ALI affiliates financially benefitted from Amazon's attempted evasion of liquidated damages payments and MQC requirements under the Service Contract when Amazon sought to terminate "for cause" because during the period the contract was in place BCJ and ALI took full advantage of the lower than otherwise applicable Service Contract rates. Taken together, the provisions of the Service Contract indicate that the actions taken by Respondents were done in concert between Amazon and its affiliates, or at the very least those actions were taken on behalf of, and for the economic benefit of the two Commission-regulated NVOCC affiliates.

Amazon's public corporate and regulatory filings further confirm China United's allegations that Amazon and its affiliates operate as a common enterprise. ALI and Amazon.com Services LLC are wholly owned subsidiaries of Amazon.com Inc., which operate from the same business address in Seattle, Washington. BCJ appears to be a wholly owned or majority-owned and controlled subsidiary of ALI. BCJ is a registered NVOCC with the FMC, and it has listed its registered trade names with the Commission as "Amazon China," "Amazon.CN" and "Amazon Global Logistics China." As alleged in the Amended Complaint, there is no doubt that the actions taken in this proceeding were done in concert among all three controlled entities involved, and for the benefit of all three as a common enterprise. Am. Compl. at 1 (defining "Amazon" as including all three Respondents collectively), ¶18 ("Amazon, on behalf of itself and its affiliates..."). As

noted below, a dismissal prior to any discovery precludes Complainant from obtaining the necessary information from Respondents themselves as to common ownership and common control for purposes of establishing status.

Considering the implications of Respondents' attempts to separate Amazon from its NVOCC affiliates, any regulated entity could potentially benefit financially from unreasonable behavior that violates the Shipping Act by having an unregulated affiliate sign the Service Contract or termination notice. If the Order becomes precedent, it would allow any common carrier to violate these sections of the Act by having a non-common carrier affiliate enter a contract, name the common carriers as third-party beneficiaries, gain the economic benefit from the violation, and then claim the Commission has no jurisdiction.

3. The NVOCC Affiliates Shipped Cargo Under the Service Contracts and Engaged in the Violative Practices at Issue Here

The Order erroneously failed to acknowledge the Wang Decl. submitted with the Opposition to the Motion to Dismiss, which further confirmed that both Respondent affiliates in fact shipped cargo under the Service Contract at issue in this proceeding. Additionally, the Order erred in holding "[e]ven if Amazon Logistics and Beijing Century were acting as NVOCCs and therefore regulated entities, the amended complaint does not allege that any actions by Amazon Logistics or Beijing Century violated the Shipping Act." Order at 16. As alleged in the Complaint, and shown in the Wang Decl., all three Respondents participated in shipments made under the Service Contract. The title of the MTA itself was "Amazon Global Logistics Main Transportation Agreement" and BCJ, which does business under the trade name "Amazon Global Logistics" as shown on the Commission's published list of licensed and registered NVOCCs,⁶ was the NVOCC carrier, and ALI was the named consignee on a substantial portion of the shipments made. *See*

⁶ <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=oti>

Wang Decl. at ¶ 4.

Ms. Jane Wang is the Senior Legal Manager at China United. In her declaration, Ms. Wang described the business records of China United with respect to the Service Contract at issue in this case. Ms. Wang explained that BCJ shipped 7,979 FEUs and 44 TEUs with China United, all consigned to ALI. Wang Decl. ¶ 4. These entities are the relevant Amazon NVOCCs named in the Amended Complaint. *See* Am. Compl. ¶ 4-5.

Taken as true, these allegations show that the Amazon NVOCCs were not only permitted to receive carriage services under the Service Contract, but did in fact receive carriage services pursuant to the Service Contract. It is undisputed that a Common Carrier must be acting in its common carrier capacity when committing the violation alleged in the complaint. *Id.* at 13-14 (“The ‘jurisdictional question in § 41102(c) cases is whether the respondent was acting as a regulated entity when it allegedly violated the Shipping Act’”) (citations omitted). Here, the NVOCCs were in fact acting in their capacity as NVOCCs when they, in concert with Amazon, evaded the MQC and/or liquidated damages provisions and reaped the benefits of lower contract rates for a full year as a result—an action which constituted a violation of the Shipping Act under multiple provisions as alleged in the Amended Complaint.

In *Ocean Network Express PTE. Ltd. and Ocean Network Express (North America) Inc.—Possible Violations of 46 U.S.C. § 41102(c)*, the Commission was faced with similar facts whereby corporate entities were acting in concert. Dkt. No. 21-17, 2022 WL 602648 (ALJ Feb. 23, 2022). Both ONE Respondents filed a Motion to Dismiss the Order of Investigation and Hearing for lack of jurisdiction and failure to state a claim. *Id.* at *1. In the Motion to Dismiss, ONE asserted that the OIH lacks subject matter jurisdiction because it fails to allege that ONE NA was an ocean common carrier and instead “simply conflates ONE NA with ONE, then alleges that ONE is an

ocean common carrier...” and that “there is no subject matter jurisdiction over BOE's claim because ONE NA is not a regulated entity.” *Id.* at *2. BOE opposed the Motion to Dismiss, asserting that ONE NA acted as a “principal and carrier in its own name” to enforce the terms of the bills of lading at issue and to “the extent that uncertainty remains with regard to ONE NA’s status, then proceeding to discovery would be appropriate to resolve any such open question.” The Presiding Officer noted that the “OIH does not distinguish between ONE NA and ONE, asserting that collectively they are vessel-operating common carriers.” *Id.* The Presiding Officer concluded that “[d]etermination of jurisdiction requires an analysis of whether ONE NA is a regulated entity and whether it acted as a common carrier. These issues are also central to determining the merits of the claim.... Accordingly, at this time, ONE NA will not be dismissed on the basis of personal or subject matter jurisdiction to give the parties an opportunity to conduct discovery, clarify the roles of each entity, and brief the merits of the proceeding.” *Id.* at *3.

The issues on Motion to Dismiss in the instant case are nearly identical, and a similar logic should have been followed by the Presiding Officer to err in favor of permitting Counts II-IV of the Amended Complaint to proceed to discovery. As recognized by the Presiding Officer in ONE NA, and as asserted in Complainant’s Opposition to the Motion to Dismiss, “[T]hough the trial court may rule on disputed jurisdictional facts at any time, if they are inextricably intertwined with the merits of the case it should usually defer its jurisdictional decision until the merits are heard.” *Id.* (citing *Herbert v. Nat’l Acad. of Sciences*, 974 F.2d 192, 198 (D.C. Cir. 1992)); Opposition to the Motion to Dismiss, Dkt. 20, at 19. In the interest of developing a fulsome discovery record on the crucial issues underpinning the jurisdictional threshold, the Presiding Officer should have denied the Motion to Dismiss and allowed Counts II-IV of the proceeding to continue to discovery and factfinding.

B. Count II of the Complaint Adequately Alleges the Violative Practice Occurred on a Normal, Customary, and Continuous Basis

1. Amazon and its NVOCC Affiliates Acted in Concert to Violate Section 41102(c) in Other Service Contracts

The Order found “[i]t is possible that discovery could uncover additional similar practices as this information would be within the control of Respondents. However, it is not alleged that Amazon Logistics or Beijing Century entered into ocean service contracts or terminated such contracts... Therefore, a practice by Amazon Logistics or Beijing Century is not plausibly alleged.” Order at 18. This holding misreads the Amended Complaint and ignores the collective action taken (and collective benefit reaped) by Respondents under the Service Contract, as alleged in the Amended Complaint.

The relevant allegations in the Complaint are in Paragraph 52, which reads:

“On information and belief, Respondents have engaged in similar actions, including use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments, such that Respondents’ pattern of activities at different times and with different counterparties, constitutes a “practice” as such has been defined by the Commission.”

The foregoing language clearly alleges that “Respondents,” meaning all three of them not just the two NVOCCs as incorrectly found in the Order, “...have engaged in similar actions, including [but not limited to] use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment...and/or engaging in pretextual...” contract terminations wrongfully to avoid Respondents’ contract obligations to counterparties in the ocean shipping industry.

When reviewing the complaint on a Motion to Dismiss, the Presiding Officer should have accepted all factual allegations as true. However, here, the Presiding Officer failed to apply the 12(b)(6) standard and instead questioned the factual allegations. These inquiries are improper at

the Motion to Dismiss stage, where the Complainant has not yet had the opportunity for any discovery. The Commission now has the chance to correct this error by reversing the Order dismissing Counts II-IV and allowing discovery to proceed with these contested issues.

It is hardly “speculative” or unreasonable for China United to infer and allege that the three Respondents, including ALI—widely reported to have been the second largest logistics services company in North America at the time the Service Contract was entered⁷ and which entered the Service Contract in question with an MQC of tens of thousands of FEUs—would likewise be contracting with almost every other ocean carrier in the U.S. Transpacific and other major inbound trades. Nor is it speculative to conclude or allege that the Respondents would likely use very similar forms of ocean service contracts (including an illusory MQC) with multiple other ocean carriers, which alone would support a finding of a “practice” under Commission precedents, or that the Amazon companies, stressed by instability in ocean commerce driven by the COVID-19 crisis and supply chain fluctuations, would resort to extremely aggressive contract administration practices regarding service contracts and similar commercial ocean shipping arrangements, utilizing Amazon’s enormous bargaining power to avoid contractual minimum volume obligations.

Because ocean service contracts are kept confidential by the Commission, China United, which has the burden of proof on this issue, cannot readily obtain evidence of how widespread Respondents’ contracting practices of this nature are without discovery, which will not be

⁷ See Supply Chain Digital, *UPS, Amazon & FedEx top North America logistics firms chart*, March 16, 2022 (<https://supplychaindigital.com/logistics/ups-amazon-fedex-top-north-america-logistics-firms-chart>; see also India Shipping News, *Amazon reshapes transpacific trade flows*, April 29, 2021 (<https://indiashippingnews.com/amazon-reshapes-transpacific-trade-flows/>) (reporting that Amazon’s NVOCCs, i.e., the two NVOCC Respondents) have grown to be among the ten largest global NVOCCs.

permitted if the Commission affirms the Order. Even prior to discovery, since filing its Complaint, China United has identified a filed case alleging similar heavy-handed pretextual contract termination practices by Respondents. As shown by documents in the public docket in *GSC Logistics, Inc. v. Amazon.com Services, LLC and Amazon Logistics, Inc.*, filed in the Southern District of New York, Civil Action No. 1:23-cv-05368-JGLC, two of the instant Respondents signed a four-year shipment transloading services contract with the plaintiff in December 2020 at the Port of Long Beach, which contained a large minimum volume commitment of 500 containers per week. This contract included a Master Transportation Agreement and Work Order remarkably similar to those in the instant case, which are available to the Commission from the Southern District of New York public docket. When stressed by financial conditions, the Amazon defendants, which had not met their substantial minimum volume commitment, terminated the transload contract in February 2023, pretextually citing alleged breaches by plaintiff for actions that were expressly excused under the contract, without giving the plaintiff a right to cure for which the contract expressly provided, and refused to pay contractually mandated “Early Withdrawal” liquidated damages payments. Respondents’ behavior in the GSC matter is on all fours with the allegations in the instant Amended Complaint.

China United is aware of and will present evidence of one additional similar matter involving Respondents’ pretextual early termination of an ocean logistics services and supply contract during the same time period. See *Binh Thanh Import Export Production & Trade Joint Stock Co., d/b/a Gilimex, Inc. v. Amazon.com Services LLC, d/b/a Amazon Robotics*, 1:23-cv-00292-LGS (S.D.N.Y.).

These are precisely the types of questions that thorough discovery is intended to answer. The proper inquiry on a Motion to Dismiss is not whether Complainants will win on their claims,

but whether Complainants are entitled to proceed to the merits and engage in discovery on those claims. *Carolina Marine Handling, Inc. v. South Carolina State Ports Auth.*, Dkt. No. 99-16, 2000 WL 722274 at *28 (ALJ May 2, 2000) (citing *Scheuer v. Rhodes*, 416 U.S. 232, 236 (1974)). Accordingly, the Commission should reverse the Order on the Motion to Dismiss to permit discovery to proceed on the issue of Respondents' unjust and unreasonable practices.

C. The Amended Complaint in Count V Adequately Alleges Amazon Cancelled the Service Contract within The Meaning of 46 C.F.R. § 530.10(e)(2)(ii)

1. The Order Erred in Finding the Regulation Was Inapplicable on its Face.

The Presiding Officer dismissed China United's Count V based on an interpretation of the text of the regulation, and in the absence of any developed factual record, to conclude that the regulation was inapplicable on its face. This erroneous finding is based solely on the Presiding Officer's own interpretation of the regulation. Notably, the regulation has not yet been properly interpreted under the Commission case law. The Presiding Officer's interpretation of the regulation is in direct conflict with the sworn statements of Complainants' expert witness, Gary Kardian, who administered the subject regulation as a Commission official for many years. Accordingly, Complainants submit the Commission should reverse and the novel issue should have been given the benefit of a full opportunity to be developed by the record. Given the unsettled nature of the regulatory interpretation, and the fact-intensive nature of the inquiry for Count V, whether actions of Respondents alleged in the Amended Complaint constituted a "cancellation" as defined in the Commission's regulations is not appropriately resolved on a motion to dismiss.

The Presiding Officer's interpretation is a narrow one: that if the Service Contract at issue contains a termination provision, the "event" is not unanticipated. Order at p. 21. The Order held that because the Service Contract included provisions regarding termination "for convenience" or "for cause," the alleged violative conduct of Respondents' were "anticipated" and do not fit the

“cancellation” definition. Order at 22-23.

China United reads the regulation to mean that the unanticipated “event” is the false and deceptive use by Respondents of a pretextual termination to avoid liquidated damages which caused the termination to take place, not the mere termination “in the abstract” itself. Because all service contracts are sophisticated commercial agreements, they all contain termination provisions. If any termination whatsoever, regardless of the circumstances, is automatically deemed to have been “contemplated” under the Service Contract as the Presiding Officer concluded there could never be a “cancellation” under this regulation, and thus the Commission’s regulation would be a nullity. China United alleged that under the circumstances set forth in the Amended Complaint, the unanticipated actions by Respondents in serving a false and deceptive “for cause” notice of termination as a means to avoid payment of liquidated damages as a whole constitutes a “cancellation” under the regulation and accordingly, under Section 530.10(e)(2)(ii), the cargo previously carried by China United for Amazon prior to the “cancellation” must be re-rated to the applicable effective tariff terms and charges at the time of carriage. As far as China United is aware, there has been no case law to the contrary which interprets the application of this regulation in the context of a formal complaint before the Commission. Absent caselaw to conclusively settle this conflict, the issue is ripe for Commission review based on a complete record including discovery from Respondents.

China United provided industry expertise on the interpretation of this regulation by submitting the Kardian Decl., to shed light on specifically how the Commission itself interprets the regulation. The Order dismissed the Kardian Decl. as insufficient “to ignore the plain language of the regulation.” Order at 23. The Order concluded that “[u]nder Kardian’s proposed reading, liquidated damages provisions in service contracts would not be enforceable unless all parties

mutually agreed to end the contract by amendment, which would undermine the parties' agreement regarding termination and liquidated damages." *Id.* This conclusion misinterprets Mr. Kardian's analysis.

Mr. Kardian testified in his declaration that, in his prior experience as the Director of the FMC's Office of Service Contracts and Tariffs, the Commission interprets this regulation to apply to the circumstances at issue here. Kardian Decl. ¶ 11. Specifically, Mr. Kardian explained that, where a service contract is terminated before the end of its term, Section 530.10(a) requires the parties to file a mutually agreed amendment, at which point one of three circumstances results: (1) the parties have met their MQC and the service contract terminates, (2) the parties do not meet their MQC and pay out agreed upon liquidated damages, or (3) the parties do not meet their MQC and they do not pay out liquidated damages, which results in a cancellation as defined under Section 530.10(a)(3), resulting in re-rating under Section 530.10(e)(2). Kardian Decl. ¶ 10.

Determining whether the alleged facts in the Amended Complaint constitute a cancellation of the Service Contract such that re-rating is the proper reparations award is a fact-intensive inquiry that can only be properly determined after thorough discovery and development of the record. Therefore, it was not appropriate for the Presiding Officer to dismiss this alternative pleading at the motion to dismiss stage.

2. Whether a "Cancellation" Occurred is Not Determined by Whether "Termination" Was Specifically Anticipated Under the Service Contracts

Under China United's interpretation of Section 530.10(e)(2)(ii), the substantive issue is whether the "event" which caused the termination was anticipated or contemplated by the parties, not just the mere outcome of termination. While the Service Contract at issue here included termination "for convenience" and "for cause" provisions, the Service Contract provisions clearly did not contemplate the duplicative and deceptive "for cause" termination circumstances that

actually transpired.

As alleged in the Amended Complaint, Amazon first notified China United that the Service Contract would be terminated “for convenience,” without cause, effective as of May 30, 2023, at which time Respondents had not shipped the full MQC. Following this notice, Respondents negotiated payment for the liquidated damages arising from the shortfall of Respondents’ cargo bookings below the MQC. Am. Compl. ¶ 41. These circumstances were clearly contemplated by the Service Contract. Accordingly, had Respondents followed through with this payment, the parties could have entered an amendment of the Service Contract (i.e., an “account adjustment” as mentioned in the regulation) and filed it with the Commission as required by regulations at 46 C.F.R. §530.10(b), and that would have been the end of the matter. Kardian Decl. ¶ 9. There would have been no “cancellation.” *See* Kardian Decl. ¶ 9.

Respondents never made the negotiated and agreed payment triggered by the “for convenience” termination. Even though the Service Contract had already been effectively terminated as of May 30, 2023, and the parties agreed to payment by Respondents of a certain amount for liquidated damages, Respondents served a second deceptive and fraudulent notice purporting to terminate the already-terminated Service Contract “for cause” to avoid the substantial liability owed to Complainant. This second termination notice was purported to be based upon China United’s reposting of Amazon’s own “WeChat” social media posts, which reposting occurred in August 2022, more than ten (10) months before Respondents’ deceptive practice of issuing a false second notice of termination “for cause,” and after Respondents had already shipped an enormous volume of cargo during the first year of the two year Service Contract, realizing a savings against tariff rates and charges of some \$96 million. Am. Compl. ¶¶42-48, 60-66.

China United alleged that Respondents shipped massive cargo volume between mid-2022 and May 2023, to save \$96 million in shipping costs which would have been due to China United in the absence of the Service Contract. The use of public non-confidential “WeChat” reposts as a basis to terminate “for cause” for an alleged breach of confidentiality was patently false, pretextual, deceptive and constituted a fraud and abuse of the form of contract. Respondents used this false duplicative notice to negate and evade the MQC, and to obtain transportation services at below applicable rates from China United. None of this violative conduct by Respondents was “anticipated” by the express terms of the Service Contract.⁸

The reality of this contractual “free pass” in the “for cause” termination provision was that it gave Amazon the ability to ship at the favorable below market rates under the Service Contract for as long as it liked, and then to trigger a termination at will without fulfilling the MQC or paying liquidated damages once the market rates dropped below the Service Contract rates. Under these realities, the MQC commitment and the agreed upon liquidated damages provisions are effectively illusory—Amazon could choose to enforce them or to ignore them unilaterally as long as it suited them.

To hold otherwise would undermine the purpose of the statute by creating an all-encompassing exception any time a service contract makes mention of a termination provision. Virtually all service contracts have provisions covering termination, and under the Presiding Officer’s reading, there could never possibly be a “cancellation” pursuant to the regulation.

VI. CONCLUSION

⁸ In the rulemaking leading to adoption of 46 C.F.R. § 530.10, the FMC recognized that instances such as this involving an “illusory contract” would justify re-rating prior shipments to the applicable tariff rate. 64 Federal Register 11186, 11204, Docket 98-30, March 8, 1999.

Complainant China United Lines Ltd. respectfully requests that the Commission adopt the June 6, 2025 Order on the Motion to Dismiss regarding Count I, but reverse the Order concerning Counts II-V to allow the proceeding to advance to the discovery phase for these counts.

Dated: June 30, 2025

By: /s/ Vincent J. Foley
Vincent J. Foley
HOLLAND & KNIGHT LLP
787 7th Avenue
New York, NY 10019
212-513-3357
vincent.foley@hklaw.com

*Counsel for Complainant China
United Lines, Ltd.*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 30th day of June 2025, a true and correct copy of the foregoing Appeal of Order Partially Granting Motion to Dismiss was served via email on:

Michael F. Scanlon
John Longstreth
Christiana K. Goff
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000
(202) 778-9100 (fax)
michael.scanlon@klgates.com
john.longstreth@klgates.com
christi.goff@klgates.com

Counsel for Respondents

/s/ Ashleigh T. Higgs